So the first thing to remember is that we must buy debt funds to match the investment horizon of the mutual fund scheme with ours. Investment horizon, or the time for which we want to invest our money, can also be called 'tenor'. We are going to match our holding period with that of the scheme we buy.

This means that we will buy a debt fund that invests in short-term bonds if we need our money in the near term. We will buy a debt fund that invests in long-term bonds if we plan to hold the fund for a long time and don't need the money in the near future. We need to understand a bit more about how debt funds are classified before we can invest in them.

Kinds of debt funds

There are two ways to slice the debt fund market. One, according to tenor, or the holding period of the bond. Two, according to the quality of debt paper bought by the fund.

When you think of a debt fund, ask yourself these two questions. Does the 'average maturity' of the debt fund match my holding period? If I want the money next week, should the average maturity of the fund be three years? Obviously, the answer is no.

Question two is – what quality of debt paper does the scheme hold? The better the quality, the lower will be the potential return. The lower the quality, the higher is the risk and the return. If you don't want risk in your debt fund, settle for debt funds that only buy high-quality paper, and be willing to sacrifice some return for that safety. Unlike what Gordon Gekko said in the movie, I believe that greed is bad – it costs you money.

I will run through two categories of debt funds that I think you should have. There are plenty more, but I don't see the logic of using only a debt product for needs that are more than three to five years away.

Liquid funds

If there is a banking product that is like a liquid fund, it is the savings deposit. The purpose of a liquid fund is to keep money, well, liquid, or ready for use. The